

EXECUTIVE SUMMARY

Logistics Operations Performance Dashboard

Analysis Period: 2022 – 2024 | Prepared by: Oreva Agba

1. Overview

This executive summary consolidates insights from five analytical dashboards covering the full operational profile of the logistics business over a three-year period (2022–2024). The dashboards span executive performance, driver analytics, fleet and route operations, cost and risk management, and seasonal customer patterns. Together they provide a comprehensive basis for strategic decision-making.

Key Business Metrics at a Glance

Metric	Value	Period	
Total Revenue	\$263 Million	2022–2024	
Total Loads	85,410	2022–2024	
Total Drivers	150	Active Fleet	
Fleet Utilization Rate	83.04%	Overall	
On-Time Delivery Rate	55.67%	3-Year Avg	
Total Fuel Cost	\$91.8 Million	2022–2024	
Total Maintenance Cost	\$1.36 Million	2022–2024	
Total Claims Cost	\$2.65 Million	2022–2024	
Total Safety Incidents	170	2022–2024	
Total Customers	200	Active	

2. Executive Overview

Key Findings

- Revenue remained steady between **\$7M** and **\$8M** per month across all three years with no significant growth trajectory, indicating a mature but stagnant topline.
- The on-time delivery rate remained essentially flat: 44.66% (2022), 44.50% (2023), and 44.64% (2024). This persistent underperformance is the most critical operational concern.
- First Group is the top revenue customer at **\$9.1M**, followed by First Logistics at **\$6.4M**. The top 10 customers account for a disproportionate share of revenue, signalling concentration risk.
- Safety incidents trended upward from 54 in 2022 to 58 in 2024, a 7.4% increase that warrants urgent attention.

Recommendations

- Launch a dedicated on-time delivery improvement program targeting the root causes identified in driver and route analytics.
 - Develop a customer diversification strategy to reduce dependency on the top 3 accounts.
 - Implement a safety culture initiative with measurable KPIs to reverse the incident uptrend.
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3. Driver & Experience Analysis

Key Findings

- The fleet comprises 150 drivers, with 10+ year veterans completing the highest trip volume (18,580 trips), nearly 4x that of 6–10 year drivers.
- On-time delivery rates correlate weakly with experience: 6–10 year drivers lead at 45.24%, while 0–2 year drivers perform lowest at 42.94%. The narrow spread (2.3 percentage points) suggests systemic issues beyond driver skill.
- The 10 lowest-performing drivers by on-time rate range from 35.10% to 39.53%, indicating a tail of underperformers dragging the overall average.
- Revenue per mile is tightly clustered (**\$2.06–\$2.11**), meaning route assignment, not driver quality, primarily drives revenue variance.
- Safety incidents peak in the 0 – 2-year experience band, as expected, but the 10+ year group shows surprisingly elevated incidents, a counter-intuitive pattern that merits investigation.

Recommendations

- Introduce a structured mentorship program pairing new drivers with high-performing veterans.
 - Investigate safety incidents spike among experienced drivers, potential fatigue, complacency, or route difficulty factors.
 - Deploy performance improvement plans for the bottom 10 on-time delivery performers with defined 90-day targets.
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4. Fleet & Route Operations

Key Findings

- Total fleet revenue reached **\$263M** over the analysis period, distributed relatively evenly across six truck types (Freightliner, International, Kenworth, Mack, Peterbilt, Volvo).
- Fleet utilization stands at 83.04%, with 76.67% of trucks active, 12.5% in maintenance, and 10.83% inactive. Inactive and maintenance trucks represent a combined 23.33% capacity drag.

- The top revenue lane (Philadelphia → Seattle) generates **\$10.1M**, closely followed by Charlotte → Portland at **\$10.0M**. The top 7 lanes all exceed **\$9.1M**, indicating strong corridor concentration.
- Load type is almost perfectly split: Dry Van (49.73%) versus Refrigerated (50.27%), providing good diversification within load categories.
- Average downtime of 16.55 days per truck represents a material operational cost opportunity.

Recommendations

- Reduce the inactive fleet ratio through targeted asset disposal or lease optimization to free capital.
- Investigate maintenance scheduling to reduce average downtime from 16.55 days toward an industry benchmark of 10–12 days.
- Expand capacity on the top 7 revenue corridors while exploring underperforming lanes for renegotiation or exit.

5. Cost & Risk Management

Key Findings

- Fuel represents the dominant cost category at **\$91.8M** in total. Texas (TX) and Tennessee (TN) are the highest-cost states at **\$58.61K** and **\$58.57K** respectively, suggesting these routes warrant fuel efficiency optimization.
- Maintenance costs rose sharply from 2022 through mid-2023 (peaking near **\$0.5M**) before declining. Engine (**\$239K**), Preventive (**\$230K**), and Repair (**\$221K**) are the top three maintenance cost types.
- Of 170 total incidents, DOT Violations account for the largest share (22.94%), followed by Accidents (20.59%) and Equipment Damage (20.59%). DOT compliance is the single largest controllable risk.
- Only 38% of accidents are classified as preventable, meaning 62% are non-preventable. However, the absolute number of preventable incidents still represents significant cost exposure at **\$2.65M** in claims.

Recommendations

- Deploy a targeted DOT compliance training program; even a 5% reduction in violations would yield measurable savings and reduce regulatory exposure.
- Introduce predictive maintenance scheduling to address the engine and repair cost concentration and prevent mid-run breakdowns.
- Review TX and TN route fuel efficiency with route optimization software to target a 3–5% fuel cost reduction in those corridors.

6. Customer & Seasonal Insights

Key Findings

- Load volume is remarkably stable across all four quarters: Q3 (21.48K), Q4 (21.47K), Q2 (21.36K), Q1 (21.10K). Seasonality is minimal, which is operationally favorable but limits peak-pricing opportunities.
- Revenue by customer type is divided among Contract (37.5%), Spot (31.5%), and Dedicated (31%). The Spot segment's significant share introduces revenue volatility tied to market rate fluctuations.
- Q2 leads quarterly revenue at **\$65.99M**, with Q1 the weakest at **\$64.91M**, which is a modest but consistent gap of **\$1.08M**.
- Average revenue per load shows a marked seasonal peak in November/December (**\$3,100+**), driven likely by holiday freight demand. January through October averages cluster around **\$3,050–\$3,075**.
- On-time rates for the worst-served customers range from 50.00% to 54.01% , all below the already-low company average, indicating these accounts carry elevated churn risk.

Recommendations

- Develop dynamic spot pricing mechanisms to capitalize on Q4 peak demand periods.
- Prioritize service recovery plans for the 10 worst-served customers, with dedicated account managers and on-time rate targets of at least 65%.
- Convert high-volume Spot customers to Contract arrangements to stabilize revenue and improve planning.

7. Consolidated Recommendations & Priority Matrix

The following table summarizes the 12 highest-impact recommendations across all five analytical areas, ranked by strategic priority.

#	Area	Recommendation
1	Executive Overview	Launch an on-time delivery improvement program with 65%+ target by end of 2025.
2	Cost & Risk	Implement DOT compliance training to reduce violations (largest single incident category at 22.94%).
3	Driver Performance	Deploy performance improvement plans for the bottom 10 on-time delivery drivers.
4	Fleet & Route	Reduce inactive fleet ratio; target 80%+ active utilization through asset optimization.
5	Customer & Seasonal	Initiate service recovery for 10 worst-served customers with dedicated account management.
6	Cost & Risk	Introduce predictive maintenance to address \$239K engine and \$221K repair cost concentrations.

7	Driver Performance	Investigate and mitigate elevated safety incidents among 10+ year drivers.
8	Fleet & Route	Reduce average truck downtime from 16.55 days to industry benchmark of 10–12 days.
9	Customer & Seasonal	Convert key Spot customers to Contract to reduce the 31.5% revenue volatility exposure.
10	Executive Overview	Implement customer diversification to reduce top-3 customer revenue concentration.
11	Cost & Risk	Optimize TX and TN route fuel efficiency targeting 3–5% cost reduction.
12	Customer & Seasonal	Deploy dynamic spot pricing to capture November/December premium rate opportunities.

8. Conclusion

The logistics operation demonstrates strong revenue stability and broad customer coverage across a three-year period. However, three structural challenges require immediate leadership focus:

- On-time delivery performance at 55.67% is materially below best-in-class benchmarks of 90%+. This is both a customer satisfaction risk and a competitive disadvantage.
- Safety incidents are trending upward and DOT violations represent the single largest incident category, creating regulatory and insurance cost exposure.
- Fleet underutilization (23.33% of trucks inactive or in maintenance) and elevated downtime (16.55 days average) represent the clearest near-term profitability improvement opportunity.

Addressing these three priorities in parallel through targeted operational programs, technology investment, and driver development positions the business to unlock meaningful margin improvement within 12–18 months.

End of Executive Summary